Case Book 2

USC Marshall School of Business

MARSHALL CONSULTING & STRATEGY CLUB

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Case 26

Case 26: Gardening Retailer

Prompt

You have been approached by the COO of a $2B Midwest Industrial Company that makes fertilizers, pesticides, etc. for lawns and gardens. They have recently acquired a $100M retail chain selling patio furniture, garden tools, clothing, décor, ornaments, etc. The retail chain have both retail stores and direct order business. The chain has a gross margin of 50%, but is still losing money. Why are they losing money? What should they do?

Description

Exhibit 1 - Show to interviewer when they ask about specific costs – make them say what they see as costs first

Additional Information (if asked)

- 50 retail stores in the US
- Most of the customers are in warm locations (CA, AZ, FL)
- 40% of customers are in California
- Stores are upscale

Supply Chain Info

- **Procurement:** Purchased from China
- **Transportation:** Shipped in large containers to Long Beach, CA. Shipping costs included in COGS (50%)
- **Warehousing:** Transported by trucks to the warehouse in Kentucky. Stored in warehouse and redistributed according to demand
- **Transportation:** Transported by truck to different retail stores
- **Retail:** Sold by salaried salespeople

Firm: Booz Allen Round 1 | **Type:** Profitability / Supply chain | **Industry:** Lawn & garden

Case 26: Gardening Retailer

Recommendation

40% of customers are in California and the containers are shipped from China to California to Kentucky and back to California. Unnecessary costs involved in shipping to Kentucky and back to California. So, move the warehouse to California.

- A solid interview will list out options (the 2X2 matrix) for revenue growth, and expanding existing products to new locations would be a good option:
- Can expand the number of stores to other warm weather states
- Can market a lower end brand in mass market stores like K-Mart, Costco, etc.

Case 26: Gardening Retailer

Exhibit 1

Revenue	$100M
COGS	($50M)
Transportation	($10M)
Marketing	($15M)
Fulfilment	($10M)
Labor + Store Rent	($15M)
SG&A	($5M)

<u>Direct Order Cost</u>
Designing
Printing
Distribution

Case 27

Case 27: VieTire

Prompt

A tire manufacturer in Vietnam, VieTire, has been the only player in that market due to high tariffs on imports. They dominate the tire industry. As it stands, the tariff is 50% of the total cost to produce and ship a tire to Vietnam. Because of the forces of globalization and lower consumer prices, the Vietnamese government decided to lower the tariff by 5% a year for the next ten years. VieTire is very concerned about this change, as it will radically alter the landscape of the industry in Vietnam. They hire you to assess the situation and advise them on what steps to take.

Description

Candidate should address the following throughout the case:

- Current cost structure of VieTire's product
- Competitive situation
- Impact of tariff reduction
- Protection tactics VieTire could use

Additional Information (if asked)

- Cost per tire: $40
- Raw material comprise about 20% of the cost, labor 40%, and all other costs such as overhead 40%. The average tire cost about $40 to make
- Labor is a large percentage due to manual manufacturing procedures
- Average US tire manufacturer produces tires at a cost of $30 each

Firm: Unknown	**Type:** Profitability	**Industry:** Automotive

Case 27: VieTire

Analysis

Analysis of tariffs should look similar to the following:

Year	Tariff	Cost	Result of Competition
Now	50%	$50.00	Will not enter
1	45%	$47.90	Will not enter
2	40%	$46.00	Will not enter
3	35%	$44.50	Will not enter
4	30%	$43.00	Consideration of entrance if willing to take a cut on price
5	25%	$41.30	Preparing to enter
6	20%	$39.60	Entered the market
7	15%	$38.00	Competing on the market

Case 27: VieTire

Recommendation

Findings

- Depending on what price they are willing to set, the competition will start to think about entering the market in year four. In year, six, the competition will surely enter as their prices become lower than domestically produced tires.
- This analysis assumes that the cost structure for the competition will remain constant. It is important to note that because of the rapid advances in technology, chances are that the costs of producing tires will decrease resulting in competitors entering the market sooner.

Recommendation

- VieTire needs to benchmark against world class tire manufacturers and reengineer production methods and cost structures. They must invest in the latest advances in order to reduce their labor/operations costs. The company should focus on increasing the skills of labor while at the same time contain their hourly wage. VieTire needs to develop loyalty from their customers in order to lock in a certain percentage of the market share.

Case 28

Case 28: J&H Fashion

Prompt

Your client, J&H Fashion, is a clothing retailer that sells casual clothes such as t-shirts and jeans through several channels, including department stores, its own retail stores, and its website. Although J&H has been a popular brand for most of the past two decades, it has seen declining margins in the last few years. Its CEO has asked you to help her understand why profitability has declined, and determine what J&H should do moving forward.

Description

This case primarily tests an interviewee's ability in two ways:

1. Analytical: Whether the interviewee can conclude that the client's profitability issue is due the recent opening of unprofitable stores in less desirable locations.

2. Quantitative

Interviewer Guide

Framework

The interviewee should begin by developing a framework that includes the following, at a minimum:

- **J&H's Profitability:** The interviewee identify that first and foremost, we need to examine revenues (price * volume) and costs (fixed costs and variable costs) to determine the cause of declining margins. This can include a consideration of J&H's product line, changes in customer tastes, revenues and costs by channel, and its value chain.

- **J&H's Competitors:** The interviewee should indicate that we need to benchmark against the client's competitors to understand where it may have fallen behind the curve.

Firm: BCG Round 1 (adapted) | **Type:** Profitability | **Industry:** Fashion, retail

Case 28: J&H Fashion

Interviewer Guide (continued)

Information to provide IF ASKED

- Areas served: United States
- Products sold: Casual clothes such as T-shirts and jeans. Think H&M.
- Number of stores: 100
- Customer profile: Think H&M. No data available.
- Competitors: Think H&M. No data available.

Part 1: Identifying the need to examine profitability

- If the interviewee does not bring up revenues and costs after 1-2 minutes, guide him/her to ask about them. Once the interviewee does, provide **Exhibit 1** and ask what he/she sees.

Case 28: J&H Fashion

Interviewer Guide (continued)

Part 2: Exhibit 1 walk-through | Identifying that costs are the issue

- Encourage the interviewee to walk you through the graphs. If asked, clarify that these are annual figures.
- If the interviewee focuses on:
    - The website or wholesale business: Dismiss the notion by asking whether those are significant portions of the business (they are not).
    - Sales: Dismiss the notion by asking why he/she is focusing on sales since they're increasing.
- **Key Insight:** If the interviewee is unable to identify that retail costs have grown twice as quickly as retail sales in the last five years, guide the interviewee to compare growth in sales and growth in costs. Retail costs have grown by 20% (($300M - $250M) / $250 = 20%) while retail sales have only grown by 10% (($550M - $500M) / $500M = 10%).
    - Once the key insight is reached, ask the interviewee what the causes of this could be. Push the interviewee several times to think of different possible reasons (to test the interviewee's ability to think under pressure).
    - Ask the interviewee what data he/she would want in order to dig deeper into the retail cost issue.
    - If the interviewee does not ask for revenue and cost data for the retail stores, guide him/her to do so. Once the interviewee does, provide **Exhibit 2**.

Case 28: J&H Fashion

Interviewer Guide (continued)

Part 3: Exhibit 2 walk-through | Identifying that recently-opened stores are the issue

- Encourage the interviewee to walk you through the graph. If asked, clarify that this data is for J&H's 100 stores and that the figures are annual.
- **Key Insight:** If the interviewee is unable to identify that recently-opened stores (those opened within the last 5 years) are the cause of declining profits, ask what kind of stores seem to have the lowest margins. The interviewee should realize that the stores opened within the last 5 years have the lowest margins.
    - Once the key insight is reached, ask the interviewee what the causes of this could be. Push the interviewee several times to think of different possible reasons.
    - Ask the interviewee if he/she has any ideas on what the client can do to solve the profitability issue. Push the interviewee to think of as many ideas as he/she can (keep asking "what else?"). If the interviewee does not include a suggestion to close less profitable stores, guide the interviewee to do so after several attempts. Then, ask what considerations the client should take into account when going through the process of closing stores.

Case 28: J&H Fashion

Interviewer Guide (continued)

Part 4: Quantitative Test

- Tell the interviewee that J&H has three main types of stores that appeal to different customer segments. Type A stores have the highest quality products and prices, followed by Types B and C. There are also a few flagship stores. Provide the following information all at once:
  - Annual sales per store: Type A: $9M; Type B: $5M; Type C: $2M
  - Annual COGS per store: Type A: $5M; Type B: $3M; Type C: $1.5M
  - Annual cost of rent per store: Type A: $800K; Type B: $700K; Type C: $600K
- Tell the interviewee that the client has identified 40 less profitable (or unprofitable) Type C stores that can be closed without incurring significant one-time closing costs. Ask the interviewee to calculate the impact of the closures on the client's annual profits. Also indicate that the client expects that 60% of the annual sales of each closed store are expected to continue to be made at a nearby store (basically, 60% of sales will continue to be bought each year by customers that travel to another location to make their purchase).

Case 28: J&H Fashion

Interviewer Guide (continued)

Part 4: Quantitative Test (continued)

- If needed, guide the interviewer through the calculations:
  - Cost Savings: $600K/store in annual rent * 40 stores = $24M
  - Loss of 40% of Purchases (since 60% of purchases will continue to be made at other stores):
    - $2M annual sales - $1.5M annual COGS = $500K annual profits, then
    - $500K * 40% lost = $200K in lost profits, then
    - $200K * 40 stores = $8M
  - **Total Impact:** $24M in savings – $8M in lost profits = **$16M**
- After the interviewee completes the calculation, ask if closing the stores seems like a good idea. A good interviewee will observe that the $16M in savings is about 6% of the client's annual profits (a quick glance at Exhibit 1 reveals a profit of $250M ($550M in revenues - $300M in costs)).
- Then, tell the interviewee that the CEO has just walked into the room and ask him/her to provide a quick executive summary with recommendations.

Case 28: J&H Fashion

Recommendation

Recommendation

- Close 40 Type C stores.

Risks

- Closing 40 out of the client's 100 retail stores would significantly reduce its brick & mortar presence. J&H could suffer from decreased exposure to potential customers.
- This strategy only increases total profits by 6%.

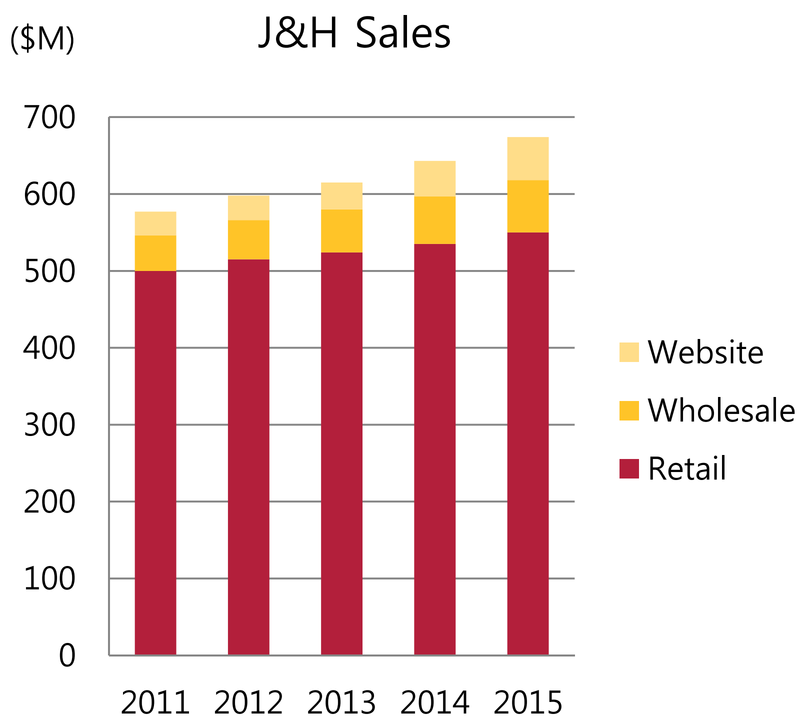
Next Steps

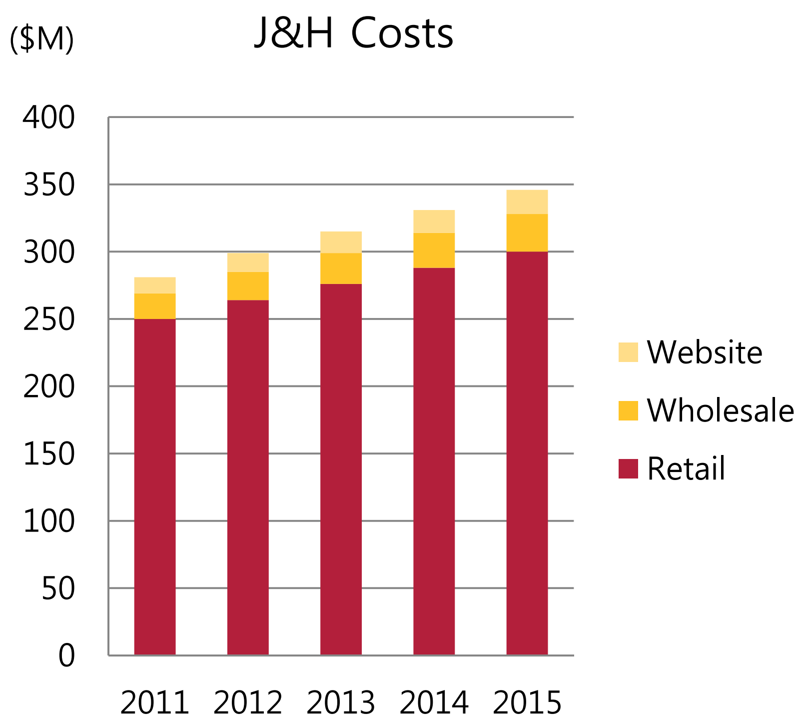
- Perform a more detailed analysis of both the short- and long-term impacts of closing the 40 stores.
- Perform an analysis of why the recently-opened stores are not doing well, and explore ways to make them profitable (i.e. management changes, adjustment to product mix to better align to customers in those stores' locales).

The interviewee should offer his/her recap in 30 seconds or less, and offer recommendations, risks, **and** next steps without being prompted to do so.

Case 28: J&H Fashion

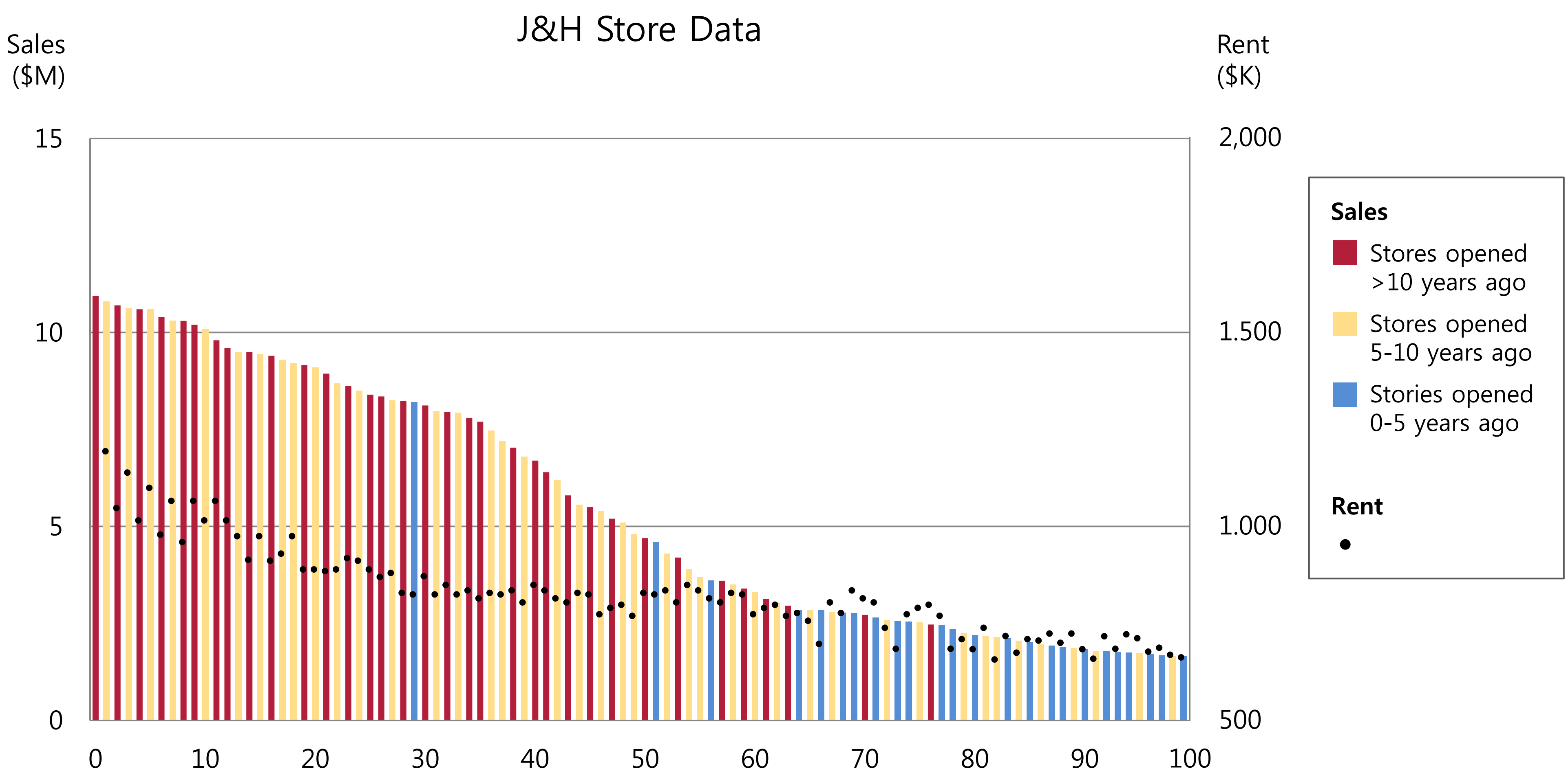
Exhibit 1





Case 28: J&H Fashion

Exhibit 2



Case 29

Case 29: Vitamin Manufacturer

Prompt

Your client is a chicken vitamin manufacturer. The vitamin helps increase the size of chicken breast and reduce fat content. Should they enter China?

Description

This is a classic market entry case.

Additional Information (if asked)

Chicken Industry in China

- Chinese chicken industry is twice as large as US in terms of amount of chicken consumed
- Growth trends are similar to those of the US

Competition

- There is no direct competitor at the moment in China. There is one substitute product which sells for $0.47/lb.
- The client's product is superior in performance and has no side effects compared to the substitute product

Firm: PwC Round 2 | **Type:** Market entry | **Industry:** Vitamin manufacturer

Case 29: Vitamin Manufacturer

Additional Information

Firm's Resources

- Magnesium is an important ingredient used to manufacture the vitamins
- The firm has one mine in Florida which is operating at max capacity
- There are mines in other parts of the world, which have a cost structure as follows (includes transportation to China.)
    - 2 in Europe - $0.39/lb
    - 1 in Africa - $0.35/lb
    - 1 in India - $0.37/lb
    - 1 in China - $0.38/lb
- NOTE: These are prices if the client were to acquire the mines
- The additional cost beyond the raw material is $0.10/lb

Customers

- The customers in the US consist primarily of large corporate farmers e.g. Tyson, Purdue
- The customers in China can be segmented into 3 categories:

Customer Segment	Current Market Size	Growth (last 5 years)
Family poultry farms	80%	1%
Village farms	10%	19%
Corporate farms	10%	80%

Case 29: Vitamin Manufacturer

Analysis

Value chain set as follows:

1. Raw Material > Manufacturing > Sales and Marketing > Distribution
2. The cost of raw material is given above for different mines.
3. The candidate should choose the African mine, but identify any risks involved
4. Given the cost structure, the client should perform an NPV analysis based on certain project sales volume

Recommendation

The client should enter China for the following reasons:

- The corporate market is growing rapidly (80% growth in 5 years.) The corporate farms are more likely to use vitamins than the small family farms.
- The client should acquire the mine in Africa
- There is no significant competition. The client's cost ($0.45/lb) is less than that of the substitute product ($0.47/lb)

Case 30

Case 30: Cosmetics Case

Prompt

BeautyAsia (BA) is a health and beauty consumer products company headquartered in Malaysia. It manufactures and sells a line of cosmetic products ideally suited for the Malaysian marketplace. Although it has been a successful company for over twenty years, it has been losing money for the past two years and its market share has declined. The CEO has asked you to assist in diagnosing the problem and generating a few possible solutions.

Description

This is a classic profitability case.

Additional Information (if asked)

Company

- Market share declined from 90% to 60% in the past two years.
- Manufacturing is excellent
- Inventory management systems are unsophisticated and ineffective, resulting in excess inventory and order fulfillment problems
- Brands are widely recognized throughout Malaysia
- No new products have been launched in the past eight years
- BA sells its health and beauty products primarily through local mom and pop shops (i.e., convenience stores)
- Management considered selling its current products outside Malaysia, but has been distracted by problems in its home country

Firm: EY Round 2 | **Type:** Profitability | **Industry:** Cosmetics

Case 30: Cosmetics Case

Additional Information

Competitors

- Several large multinational manufacturers have entered the market
- Competitors have flooded the market with new products
- Multinational competitors sell their products through supermarkets

Consumers

- As a result of multinational competitors entering the market, consumers have been exposed to new types of products and their health and beauty product tastes have become broadened and become more sophisticated

Products

- BA has multiple product lines ranging from lipstick to skin creams
- BA's products appeal to price-conscious consumers
- The health and beauty products industry is growing approximately 15% per year

Channels

- BA products are currently sold through small proprietary shops
- Supermarkets are becoming increasingly popular in Malaysia
- Supermarkets have high order fulfillment and stocking requirements

Case 30: Cosmetics Case

Recommendation

Good Conclusions

- Multinational competitors are creating a new distribution channel for health and beauty products. The channel shift is causing BA to lose market share. BA needs to update its inventory systems to compete in the new channel and reduce its costs.
- Competitors are driving changes in consumer tastes toward greater product variety and quality. BA has not kept pace with new product introductions. BA needs to improve its marketing/market research.

Excellent Conclusions

- BA's manufacturing expertise gives it an opportunity to sell high quality private label products at a discount to current prices in the supermarkets.
- There is danger in challenging multinational competitors by offering a wider assortment of products in the supermarket channel. Alternatives for BA include: strengthening its position in the local shop channel; focusing on profitable customer niches (premium, low price, etc.); targeting only certain product categories like lipstick and blush for distribution through supermarkets.
- The cost to BA of regaining its lost market share is extremely high. BA may be better off preventing further loss in market share and focusing on improving its current profitability instead of regaining share.

Case 31

Case 31: Automobile Parts Manufacturer

Prompt

Your client is an automobile interior plastic product manufacturing company. The client's market share is 20% and the industry's growth rate is nominal. Over the past two quarters, their profits have stagnated and the CEO is concerned. The company has only one customer and the customer continuously forces the client to price down. The company has one factory outside of Detroit and the factory is running at 70% utilization. The company manufactures 42% of the product on that factory and outsources the remaining 58%. The CEO would like to improve factory utilization as well as improve profitability… could you help develop some recommendations?

Description

This is a classic profitability case.

Additional Information (if asked)

- The customer has no plans to increase order quantity
- Two products with particulars below

	Internal Production		Outsourced Production	
	Plastic Rugs	Small Parts	Plastic Rugs	Small Parts
Quantity (tons)	100	40	180	80
Full Cost	$6	$4.7	$8	$4.7
Price	$7	$5	$7	$5

- Small parts are more labor intensive to produce than mats
- Mats lend more 'brand recognition' to products than small parts
- Parts produced internally have a higher quality than outsourced parts
- Outsourced work has lower labor cost than internal

Case 31: Automobile Parts Manufacturer

Additional Information / Recommendation

Candidate should want to calculate current profitability…

Internal Production | Outsourced Production

$$\underbrace{\$1 \times 100}_{100} + \underbrace{\$0.30 \times 40}_{12} + \underbrace{-\$1 \times 180}_{-180} + \underbrace{\$0.30 \times 80}_{+24}$$

Rug (P) Rug (Q) | Equip. (P) Equip. (Q) | Rug (P) Rug (Q) | Equip. (P) Equip. (Q)

= -$44

If the candidate determines the proper internal/ external mix, then they should recalculate profitability as…

Internal capacity: 140 / 0.7 = 200 tons ; max out internal mats mfg!

Internal Production | Outsourced Production

$$\underbrace{\$1 \times 200}_{\$200} + \underbrace{\$0.30 \times 0}_{0} + \underbrace{-\$1 \times 80}_{-\$80} + \underbrace{\$0.30 \times 120}_{\$36}$$

Rug (P) Rug (Q) | Equip. (P) Equip. (Q) | Rug (P) Rug (Q) | Equip. (P) Equip. (Q)

= $156 ; Improvement of $200!

The standout candidate will address other concerns of the sourcing decision, such as…

- Future client demand
- Effect on brand name and positioning
- Labor relations
- Undiversified client base
- Quality control

Case 32

Case 31: Smart Card Manufacturer

Prompt

Circa-late 1990s: Your client is a global high tech company that is a diversified manufacturer (chips and cell phones for example). The company has decided to enter the Smartcard market and wants to know where in the value chain they should enter. On Smartcards, there is a computer chip that provides a broad array of functionality. It can process transactions locally, provides a higher level of security. The technology is currently used in Europe and a little in Asia, however it is not currently used in the U.S. It can be used for loyalty programs, transit, credit cards, ATM, etc.

Description

This is a classic profitability case.

Additional Information (if asked)

Client has already determined to enter- only want to know where and why

Market is currently growing at 25%-30% annually

Ask candidate to draw their thoughts about value chain before telling them what the value chain elements are

Do tell candidate elements of value chain

Let candidate ask about specifics within value chain

ADDITIONAL INFORMATION ON NEXT PAGE

Firm: BCG Round 2 | **Type:** Value chain | **Industry:** Technology

Case 31: Smart Card Manufacturer

Additional Information

	Card Development	Terminals/ Local Processing	System Implementation	Continuing Operations
Concentration	4 players with equal share	10 players with equal share	12 players with equal share	Highly fragmented
Competitive Tactic	Patented technologies	Products are mfg based w/ little intellectual property	Major IT consulting firms	Geographically based
Profit Margins	15%	10%	20%	10%
Other	All products are in performance	Natural extension of current products (ATMs & Disk drives)	Track records are highly important	Requires workers with electrician skills
Share of $1 spent in industry	25%	25%	20%	30%

Case 31: Smart Card Manufacturer

Analysis / Calculations

	Expected Profits/$ of Industry Revenue	Corporate Alignment	Competition	Entry Strategy
Card Development	$1 x 25% x 15% = 3.75 cents	Medium/High	Low	Acquisition
Terminals/ Local Processing	$1 x 25% x 10% = 2.5 cents	High	Medium	Internal Development
System Implementation	$1 x 20% x 20% = 4.0 cents	Low	Medium	Partnership/ Acquisition
Continuing Operations	$1 x 30% x 10% = 3.0 cents	Low	High	Acquisition

Case 31: Smart Card Manufacturer

Recommendation

While system implementation is more profitable, card development is more aligned with client and has less competition- recommend acquiring one of four firms in market

Case 33

Case 33: San Diego Apples

Prompt

Our client is a Korean conglomerate named Faval that has acquired a small San Diego based biotechnology firm.

The biotech firm acquired has developed a chemical that helps control the ripening of produce. After testing this chemical appears to work especially well with apples: it allows apple orchards to harvest earlier and it improves the overall quality of the harvest.

Faval would like to know if they should commercialize this chemical.

Description

This is a classic profitability case.

Additional Information (if asked)

Client Characteristics

- Only concerned about a test-market in the state of California

Competitive Dynamics

- No other competitive products on the market currently

Local Industry Characteristics / Economics

- Growing at the rate of GDP

Product Benefits

- Reduced costs through earlier harvests
- Improved apple yields
- Sweeter apples yield more juice per apple (less apples required to make juice)

Firm: Unknown	**Type:** Market entry	**Industry:** Food & beverage

Case 33: San Diego Apples

Key Elements to Analyze

Market Sizing

- How big is the apple market in San Diego & does this seem large enough to continue investigating this product?
    - (information to provide when asked)
        - San Diego has 200 orchards
        - Average annual orchard revenue is $30K / acre
        - Average orchard has 100 acres of land
        - Only 1 apple harvest per year

Cost Savings

- What are the cost savings from using the chemical?
    - (Inormation to be provided when asked)
        - The chemical allows the farmer to harvest 10 days sooner
        - It costs $1.5K/night to maintain crops for 100 acre orchard
        - With the chemical, farmers are able to harvest crop 10 days sooner

Revenue Increase

- How much additional revenue will the farmers be able to generate? And what is the total profitability increase?
    - (Information to be provided when asked)
        - Our client product improves the consistency of red apples and improves the yield by 10%
        - The sweetness factor is estimated to imrpeve 5%
        - 25% of revenue comes from whole apple sales, 75% from juice salles

Product Profitability

- If our product costs $100K per 200 acre farm, what will the farmer's profit margin be if they buy it at cost?
- What should our client sell the product for? **(ask after they calculate the farmers margin)**

Firm: Unknown	**Type:** Market entry	**Industry:** Food & beverage

Case 33: San Diego Apples

Calculations

Market Sizing

- $30K / acre * 200 orchards * 100 acres / orchard = ***$600M***
  - This is a significant market and warrants further investigation

Cost Savings

- $1.5K / day * 10 days / 100 acres = $150 / acre / year

Revenue Increase

- Improved yield: $30K / acre * 25% * 10% = $750 / acre / year
- Improved sweetness: $30K / acre * 75% * 5% = $1,125 / acre / year
- Total Improvement: $750 + $1,125 + $150 = $2,025 / acre / year

Product Profitability

- Farmers' incremental revenue / costs savings = $2,025 / acre
- Products costs = $100K / 200 acres = $500 / acre
- Profit margin = ($2,025 - $500) / $2,025 = 75%
  - The interviewer should note that this is an extremely high profit margin for the farmer and realize that there is a significant opportunity for profits with this product.
  - Any answer over 50% margin or less than 25% for our client should be pushed back on as unrealistic

Case 33: San Diego Apples

Recommendation

Good Conclusions

- Overall, our client should commercialize this chemical and price it at approximately $1,000 per acre to make a 50% margin.
- Ask the interviewee if there are other non-financial risks/benefits that our client should consider.
- A potential answer would note that the client should consider several qualitative issues:
  - Differentiation: What is our positioning?
  - Environmental issues: Is there a risk of backlash and/or boycott from the general public? Could the U.S. government attempt to regulate our product?
  - Operational reality check: Does the company have the resources to do this?
  - Patenting: Is the product already patented? If yes, then when does it expire? If no, then is it possible to patent? If not, then can we patent the manufacturing process?
  - Representativeness of test market: Does it cost less to cover apples in other states?
  - Strategic fit: Is this opportunity too small relative to the size of the client?

Excellent Conclusions

- Excellent interviewees need to address value-based pricing: the need to quantify added profits that our client's product will make for its clients and how much of that money our client can capture.
- Additionally, a strong interviewee will share several qualitative issues listed above to supplement the recommendation to enter the market.

Case 34

Case 34: Hotel Franchisor

Prompt

You have been hired by the CEO of a Hotel Franchise. Yearly revenues have been stagnant at $600MM while the competition has been growing. The CEO wants to know why this is and what can be done.

Description

This is a classic profitability case.

Additional Information (if asked)

- As a franchise, the client licenses its brand to franchisees which own and operate the individual hotels
- The client earns revenue by charging the franchisees a royalty charge equal to 10% of each of hotel's revenues
- The client has 10 franchise brands that it acquired through acquisitions. All brands are economy level hotels (e.g., Motel 6).
- Hotels in this segment experience tough price competition. Pricing has been stable.
- Occupancy rate has been stable at 65%
- The client has seen a decrease in the number of hotel properties. The client used to have 6,000 hotels, now it has 5000 hotels.
- Competitive research shows that the client's
- "revenue per available room night" is 80% of the largest competitors.
    - Revenue per available room night = Firm Revenue/Total Available Rooms
    - Each hotel has 100 rooms that can be booked 300 days/year

Case 34: Hotel Franchisor

Calculations

Upside of additional revenue per available room night to level of competition

- Current revenue/room night: $600M Rev / (!00 rms / hotel * 300 nights * 5000 hotels) = $40
- Competitior Revenue: $40 / 80% = $50
- Upside Hotel Revenue: ($10 * 100 rooms / hotel * 300 nights * 500 hotels) = $150M
- Upside for hotel franchisor: 10% * 150M = $15M

Additional questions to ask after calculation has been done

- Why has the clients franchises been leaving the client's franchise?
- What about the methodology would cause the franchises to leave?

Case 34: Hotel Franchisor

Recommendation

Good Conclusions

- Candidate should recognize that the decrease in the number of hotel properties has led to the stagnating revenues. This is because franchisees have been leaving and going to other hotel franchises.
- Candidate should discuss the value that franchisors provide to franchisees: advertising/brand, supplier leverage, overhead services, methodology for running the business. Push the candidate to develop this list. Methodology is the answer. Bonus points if the candidate can determine what about the methodology was the problem.
- Answer: hotels use yield manage management techniques similar to airlines to make sure the rooms are filled. The client does not actively promote its yield management tools to its franchisees. This problem can be solved by investing in more sales people to train franchisees on yield management techniques.

Case 35

Case 35: Summer Olympics

Prompt

Our client is a major US television network that is trying to figure out how much to bid for the 2022 Summer Olympics and has brought you into to help us figure out the right bid. The Winter Olympics are a huge deal and will require a significant amount of capital to secure the rights. Before our network bids on the Winter Olympics, we want to make sure that we've considered all the right things.

Description

This is a classic profitability case.

Additional Info – Have interviewer think of these before giving

Summer Olympics schedule

- 16 days
  - Day 1 Friday is opening ceremony w/ 3 hours of programming from 8-11pm
  - Day 2-15: Games – 10 hours / day
    - Weekday (9-12, 2-5, 7-11)
    - Weekend (11am – 9pm)
  - Day 16: Closing ceremony w/ 3 hours of programming

Revenues

- No subscription revenue, but can keep 100% of advertising revenue
- Ad rates are $400K / 30 second ad for primetime (M-F 7-11Pm, all weekend) and $200K / ad for non-primetime

Costs

- $428M of total costs
- Opportunity costs for ads: $1M / hour
- Time value of money: 6 year lag for receipt of revenue

Firm: BCG Round 1 | **Type:** Pricing / NPV | **Industry:** Media & entertainment

Case 35: Summer Olympics

Calculations

Calculate the revenue from broadcasting the Summer Olympics

- Primetime:
  - Weekdays (M-F): 10 weekdays * 4 hrs / day * 10 min / hr of ads * 2 slots per minute * 400K / ad = $320M
  - Weekends (S-Su): 4 weekends * 10 hrs /day * 2 slots/min * $400K/ad = $320M
- Non-Primetime
  - Weekdays (M-F): 10 weekdays * 6 hrs / day * 10 min / hr * 2 slots / min * $200K / ad = $240KM
- Opening / Closing Ceremonies
  - 2 days * 3 hrs / day * 10 min / hr * 2 slots / min * $400K / ad = $48M

Calculate the costs

- $428M of total costs
- Opportunity costs: $1M / hr * (2 days * 3 hours + 14 days * 10 hours) = $146M
- Overall: $428M + 146M = $574M

Calculate the NPV using the "Rule of 72"

- We know that 72 / discount rate gives us the number of years to double our money
- Discount rate = 12%
- 6 years til money is doubled
- $928M – 574M = $346M / 2 = $177M NPV

Case 35: Summer Olympics

Recommendation

Good Conclusions

- While the NPV of the project is $177M, the fact that there are other intangibles (new viewers, plugging our programs, and prestige) the bid should just be over $177M. While there is no one correct answer, most answers should be in the range of $200M. If there is significant fluctuation from $200M, the candidate will have to provide in-depth justifications and make a concrete argument.

Excellent Conclusions

- This case tests the interviewee's comfort with numbers and understanding of how intangible factors may influence financial value. The bid process requires another level of understanding around game theory and what dynamics will ultimately determine the value of the bid beyond NPV.
- Ultimately, the best interviewees will make a very strong argument using the facts provided and support their bid and explain why they moved their bid from the NPV figure.
- There is also a lot of room for creativity for the interviewee to discuss other factors, including supplemental streams of revenue, intangible factors, and things to consider during the bid process.

Case Book 2

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